End-Term Examination
(CBCS)(SUBJECTIVE TYPE)(OffLine)
Course Name: B.Tech. (IT/CSE/MAE/DMAM), Semester:6

(April-May, 2023)

Subject Code: HMC 306	Subject: Financial Management

Time :3 Hours | Maximum Marks :60

Note: Q. 1 is compulsory. Attempt one question each from the Units I, II, III & IV.

Q1 (2.5*8=20)

(a) Why do firms hold inventories?

(b) Explain any 2 long term sources of finance.

(c) Explain operating cycle in short.

(d) A company is selling a debenture which will provide annual interest payout of Rs 1200 in indefinite number of years. Should the debenture be purchased if it is being quoted in the market for Rs 9,500 and the required rate of return is 12% ?

(e) Write a short note on ABC analysis of inventory management.

(f) Explain investing decisions

(g) "An inverse relationship exists between carrying costs and ordering costs", explain.

(h) An investment proposal requires an initial cash outflow of Rs 50,000 and expected to generate Rs 12,500 annually for 5 years. Calculate payback period.

UNIT-I

Q2 A) "Financial Management is concerned with solution of three major decisions a firm must make." Explain this statement by highlighting the inter-relationship amongst these decisions. (5+5=10)

B) Mr. C purchased a house under a housing scheme valued at Rs.24 lakhs. Under the provision of scheme, C agreed to pay a part of the amount through 10 equal annual instalments of Rs.2,50,000 involving 12% rate of interest. Find the cash down payment required to be made by C to pay the total price of the house.

Table values: r-12%, n-10

PVIFA - 5.650 PVIF- 0.322

FVIFA- 17.549 FVIF- 3.106

Q3 A) On what grounds profit maximisation was criticised? (3+7=10)

B) Assume that a Rs 20,00,000 plant expansion is to be financed as follows: the firm makes a 15% down payment and borrows the remainder at 9% interest rate. The loan is to be repaid in 8 equal annual instalments beginning 4 years from now. What is the size of the required annual loan payments.

Table values:
When r-9%, n-8

PVIFA - 5.535 PVIF- 0.502

FVIFA- 11.028 FVIF- 1.993

When r-9%, n-3 — FVIF- 1.295 FVIFA- 3.278

When r-9%, n-4 — FVIF- 1.412 FVIFA- 4.573

UNIT-II

Q4 Explain the different types of cost of capital: (10)

1. Average cost and marginal cost.
2. Future cost and historical cost.
3. Explicit cost and implicit cost.
4. Specific cost and Combined cost

Q5 What is the meaning of optimum capital structure? Also highlight some of the relevant factors in determining the capital structure? (10)

UNIT-III

Q6 A company is considering to purchase two machines A and B. CFAT (cash flow after tax) are expected to be as follows: **(10)**

Year	Machine A	Machine B
0	100,000	100,000
1	10,000	50,000
2	20,000	40,000
3	30,000	20,000
4	45,000	10,000
5	60,000	10,000

You are required to calculate NPV (net present value method) at 10% discount rate and Profitability Index at 10% discount rate for both the machines.

Table values:

PVIF @ 10%- 0.909, 0.826, 0.751, 0.683, 0.621

PVIFA @ 10%-0.909, 1.736, 2.487, 3.170, 3.791

Q7 A) A machine requires an initial outlay of rs 100,000, having a life of 5 years. It generates year ending profits before depreciation and tax of Rs 50,000 , Rs 30,000 , Rs 20,000 , Rs 30,000 and Rs 40,000 from the end of first year to the end of fifth year. The tax rate is 40%. Use SLM method for depreciation with salvage value as nil. Compute the following: **(7+3=10)**

1. Pay back period
2. Average rate of return

B) Write a note on capital rationing.

UNIT-IV

Q8 A) Write a short note on liquidity versus profitability considerations in working capital management. (3+7=10

B) Prepare an estimate of networking capital requirement of Zero company from the data given below:

Estimated Cost per Unit of Production	Amount per unit (Rs)
Raw Materials	100
Direct Labour	40
Overheads	80
	220

The following is the additional information:

Selling price per unit	Rs 240
Level of activity	1,04,000 units p.a.
Raw Materials in stock	average 4 weeks
Work in progress [Assume 100% stage of completion of materials and 50% for labour and overheads]	average 2 weeks
Finished Goods in Stock	average 4 weeks
Credit allowed by Suppliers	average 4 weeks
Credit allowed to Debtors	average 8 weeks
Lag in payment of Wages	average 1.5 weeks

Cash at Bank is expected to be 25,000.

Q9 A) XYZ buys an item costing Rs 125 each in lots of 500 boxes which is a 3 month supply and the ordering cost is Rs 150. The inventory carrying cost is estimated at 20% of unit value. What is the total annual cost of the existing inventory policy? How much money could be saved by employing the economic order quantity (EOQ)? (5+5=1

B) What are different approaches to financing of working capital requirements? Explain.